

discovered the secret to avoiding recessions. The junk bond market appears to have different ideas, as the spread between its yield and that of Treasuries has continued to widen, *reflecting recession worries*.

Junk bonds were right that a recession was coming. Its official beginning was July 1990 and its official end was March 1991. True to the market's seemingly perverse yet perfectly logical and necessary ways, the decline in junk bonds ended in the fourth quarter of 1990, *early* in the recession, in the heat of "debt quality" downgrades by rating services (two years late), the largest dollar amount of junk bond defaults in nineteen years, and confirmation by many economists that a recession was beginning (though most argued about it for another couple of months).

The decline traced out a beautiful five waves down, complete with an extended third wave, that wiped out almost 60% of total junk bond values in just two short years. At the low in December 1990, the yield of the Merrill Lynch High Yield Index had soared to 17.4%, a premium of 9.3% above the 8.1% yield of ten-year Treasury notes, reflecting widespread fear.

Memorize this scenario, as it is undoubtedly in the early stages of playing out once again. First ask yourself, *did investors learn anything as a result of the collapse?* One would not think that the question needed asking. Let's see what has happened since.

Calling the 1990 Low

No wave analyst could have had trouble discerning the crystal clear five wave pattern of the 1988-1990 decline. The November 30, 1990 issue of *The Elliott Wave Theorist* showed a chart of junk bond prices, reproduced in Figure 15-1. Here is the accompanying commentary:

This chart shows the incredible destruction to low grade bond portfolios, a 55% loss in two years. The wave count shows that the fall may be at a temporary end. If so, however, that end will only be wave (A) or (1) of a larger fall.

That *same day*, a newspaper headline advised, "Investors In Junk Bonds Advised To Jump Ship Before It's Too Late." It was a typical expression of market psychology, and so proved useful in confirming an approaching bottom. The junk bond index edged to